

Panel Discussion: Business Case of Sustainability –

The ATMOS sustainability workshop organized by GCCOSS, featured an engaging panel discussion on ESG (Environmental, Social, and Governance) practices and sustainability. The esteemed panel was moderated by Sri Joseph Martin from PWC India. The speakers included Sri Reji Koshy Daniel from ESAF Small Finance Bank, Sri Jayaraman Chillayil from Equinoct, Sri Padmanabhan TM from Federal Bank, and virtual participation from Niranjana Manohar – from Microsoft (India).

Introduction: The event aimed to provide insights into the importance of ESG principles and how they are being integrated into business practices to promote sustainable growth. The discussion highlighted the significant role of ESG in mitigating risks and creating value for organizations.



Panelist Introductions:

- **Sri Joseph Martin:** Markets Leader of PWC India ESG Platforms, is an alumnus of CUSAT. He has influenced the Indian ESG market through mentoring and developing key ESG Competencies and driven revenue growth for PWC India. He has assisted the GCCOSS team by moderating the panel discussion.
- **Sri Reji Koshy Daniel:** Vice President and Head of Sustainable Banking at ESAF Small Finance Bank, with a background in mechanical engineering and 25 years in the manufacturing industry. He joined ESAF in 2017 to lead its sustainability initiatives, focusing on Business Responsibility and Sustainability Reporting (BRSR) and ESG disclosures.
- **Sri Jayaraman Chillayil:** Managing Director and Co-founder of Equinoct, a tech startup focusing on sustainability and community-based climate resilience solutions. With nearly 25 years of experience and a Ph.D. in energy management, Jayaraman has a deep understanding of leveraging technology for sustainable development.

• **Sri Padmanabhan TM:** Deputy Vice President and Head ESG at Federal Bank, with extensive experience of 15 years in risk management and retail operations. Since 2021, he has been instrumental in integrating Environmental and Social considerations in Bank's lending process and promoting voluntary ESG disclosures.

• **Sri Niranjan Manohar:** Sustainability and ESG Solution lead at Microsoft (India), he has a total industry experience of 18 years and he is with Microsoft from the past 7 years. Wherein he is dedicated to providing innovative solutions that help organizations reduce their carbon footprint, enhance energy efficiency, and achieve their sustainability goals.

Sri Joseph Martin initiated the panel discussion by sharing 3 points on the impacts of ESG:

1. **Kerala Floods 2018:** The World Bank's post-disaster assessment estimated damages of USD 4.4 billion.

2. **Health Impact of Air Pollution in India:** The World Bank's report highlighted an annual cost of USD 11.9 billion due to air pollution.

3. **Economic Impact of Gender Neutrality:** Achieving gender neutrality in India's workforce could unlock an economic opportunity of USD 2.9 trillion.

Panel Discussion:

The panel moderator shared his view on the 4 quadrants framework of Impacts, Investments, Data and Fund flow.

Key questions asked includes –

(Q) ESAF being a purpose driven agenda, how the principles of ESG were integrated into its strategy.

(Q) How Federal bank is leveraging the emerging fund flow to grow business and what kind of products they are bringing into the market.

(Q) Innovation is key to mitigate and adapt - what innovative technology and models are brought by Equinor?

• **ESAF Bank's Integration of ESG Principles:** Sri Reji Daniel highlighted ESAF's use of an integrated reporting structure based on six capitals: financial, manufactured, intellectual, human, social, and natural. He discussed successful projects like loans for water-efficient irrigation systems and promoting gender equality in the workforce. He also emphasized the importance of accurate data and standardized methodologies in ESG reporting.

• **Federal Bank's Sustainable Finance Initiatives:** Sri Padmanabhan emphasized the bank's commitment to building a green finance portfolio, targeting INR 13,000 crores by December 2025. He discussed the challenges smaller businesses may face to prove the green credential through documentary evidence and the steps taken to ensure compliance with global standards. The green opportunities for various sectors were also discussed. Notably, Federal Bank has committed to phase out financing for coal related sub project exposure by 2030 and has already funded INR 7,500 crores in green loans.

• **Equinoc's Community-Based Climate Resilience Projects:** Sri Jayaraman shared insights into projects like tidal flooding assessment and the Climate Watch dashboard, which provides real-time flood data to help communities prepare for disasters. He highlighted the importance of community involvement in sustainability efforts and detailed the challenges of lacking hyper-local data for effective flood forecasting.

Summary is - there is an external impact of economic activities on economy, environment and society that is becoming unsustainable. Funds are required to mitigate these impacts. Fund flows can be influenced through data for which corporate disclosures are required. The disclosure system will help fund flows to mitigate the impacts.

Moderator's Discussion:

- The impact of air pollution on health highlighted the financial burden on the government, with an estimated annual cost of USD 11.9 billion due to lung diseases.
- Gender neutrality in India's workforce could generate an economic opportunity of USD 2.9 trillion, nearly two-thirds of the current GDP.
- The United Nations Principles of Responsible Investment (UNPRI) has led to USD 128 trillion in assets under management, promoting ESG principles.

Creating Value from ESG Data:

- The importance of comprehensive ESG disclosures to attract investment and improve market performance.
- SEBI's efforts to establish a measurement system for ESG performance, creating baselines, and monitoring long-term progress.
- Utilizing technology to analyse ESG data and facilitate fund flows, akin to the digital economy's impact on business transactions since the 1990s.

Sustainable Business Opportunities:

- The World Business Council for Sustainable Development's assessment in 2015 indicated that addressing ESG impacts could create USD 12 trillion of additional value annually.
- Businesses are encouraged to view ESG regulations as opportunities rather than costs, aiming for a more equitable, safe, and liveable planet.

Insights from Panelists:

- **Sri Reji Daniel:** Shared how ESAF Bank's sustainability report, based on the six-capital model, shows that efforts in natural capital can boost financial capital. Highlighted the concept of "Climate Smart Industries" and the importance of environmental stewardship in mitigating climate risks.
- **Sri Padmanabhan:** Discussed the importance of integrity and transparency in BRSR, emphasizing that comprehensive reporting can lead to increased profitability and social capital. He also recounted personal experiences that highlighted the intrinsic value of natural capital and the importance of accurate resource pricing. Federal Bank's initiatives in sustainable finance,

including refusing to finance coal mines by 2030 and building a green finance portfolio, demonstrate a bold commitment to sustainability.

- **Sri Jayaraman Chillayil:** Illustrated the practical benefits of climate-smart agriculture and industry practices in enhancing both environmental and financial performance. He shared the story of EQUINOCT's work in tidal flooding and community-based solutions, highlighting the importance of community involvement in sustainability efforts. He also described EQUINOCT's work in installing rain gauges and developing the Climate Watch platform to monitor and predict impacts. Additionally, he talked about supporting women entrepreneurs with renewable energy-based dryers for the fishing community.

- **Sri Niranjan Manohar:** Emphasized on the role of technology in ESG. Participating virtually, emphasized the critical role of data and technology in ESG strategies. He showcased how Microsoft's solutions, such as the Cloud for Sustainability platform, help organizations track and reduce emissions by integrating financial and ESG data. He also discussed the concept of employee social responsibility and the importance of making sustainability beneficial for organizations' bottom lines. He explained how data and AI could help identify suppliers' carbon emissions and make decisions based on sustainability performance.

Panel moderator's summary - *Size of challenge is enormous and opportunities are significant. Regulatory landscape is widening and deepening. Customers are seeking for more sustainable products. Kerala being a land with consistent high performance in sustainable development goals is positioned well to capture the opportunities and improve economy, environment and society. GCCOSS is ready to take that challenge and can facilitate government, industries, financial institutions and academia to come together to solve the most important challenge faced by the mankind.*